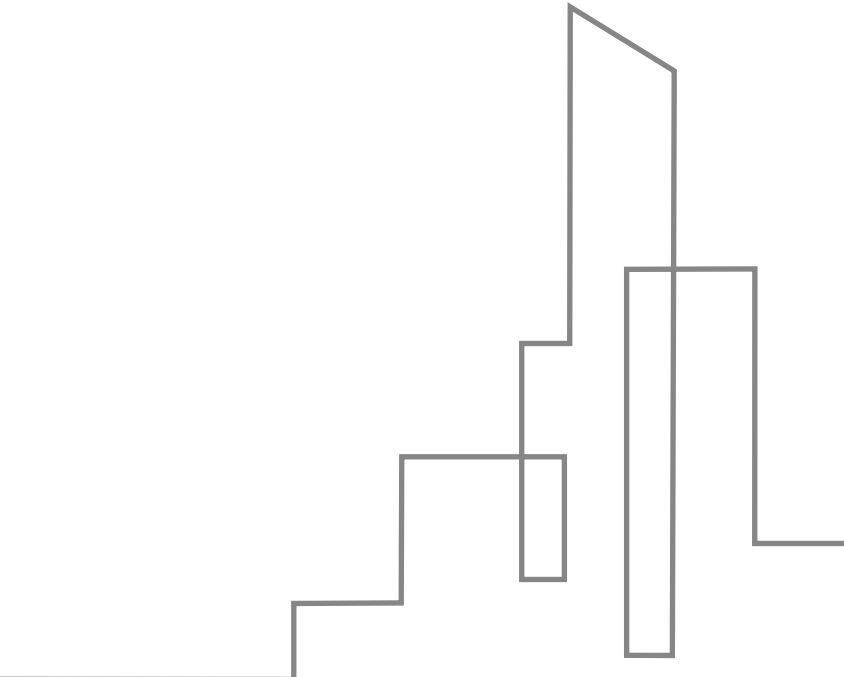


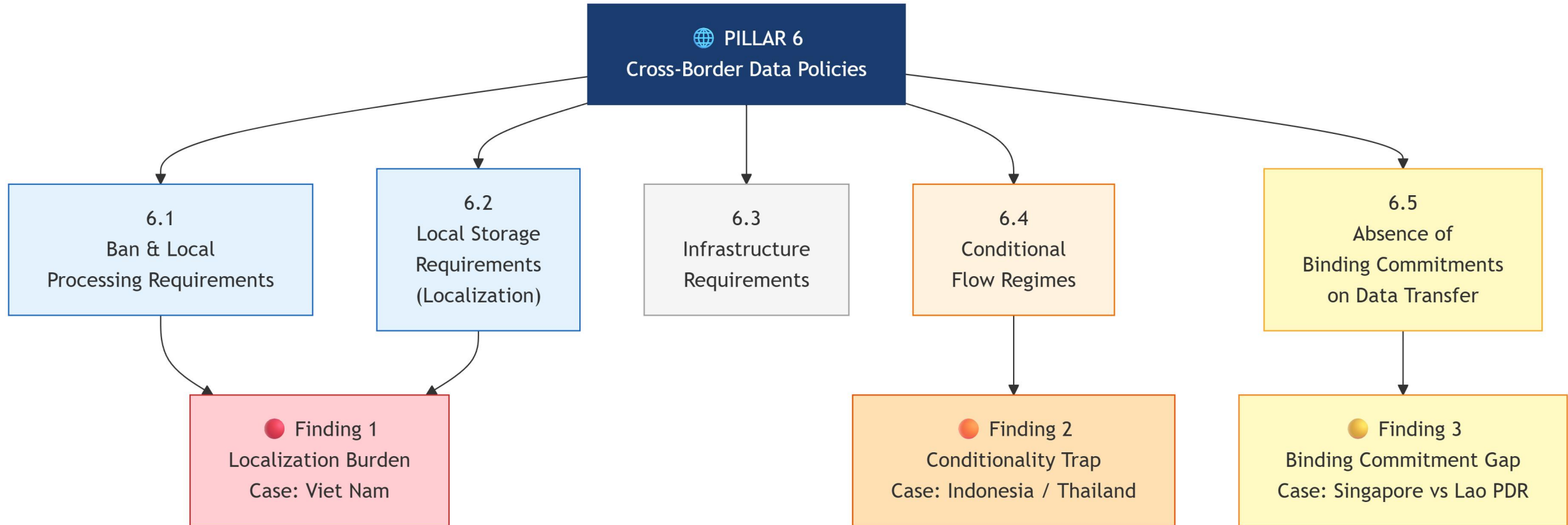
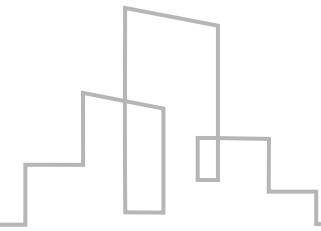


Pillar 6: Cross-Border Data Policies Impact Analysis

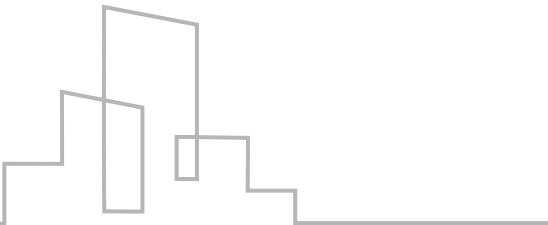
Team Name: Yuyi

Team Member: Crystal Zhao, River Lin

Research Framework



Finding 1: The Localization Burden



KEY REGULATION

Layer	Laws	Date
Law	Law on Cybersecurity No. 24/2018/QH14	2019.1.1
Decree	Decree No. 53/2022/ND-CP	2022.10.1

"Domestic and overseas service providers that collect, exploit, analyze, or process personal data... must **store such data within Vietnam**. Overseas service providers must **establish branches or representative offices** in Vietnam."
(Article 26)

Decree 53 Key Points	Content
3 Categories of Regulated Data	Personal data / User-generated data / Relationship data
Applicable Enterprises	All domestic + Foreign (conditional on MPS warning)
Compliance Requirements	24-month storage / 12-month system logs / 12-month compliance window

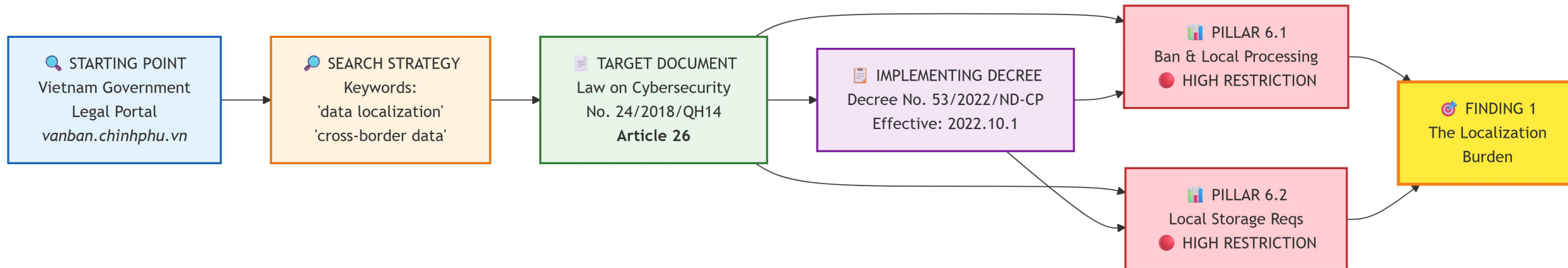
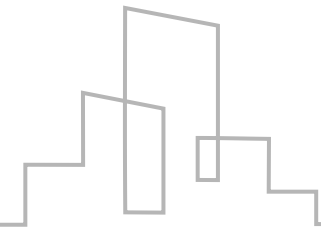
RDTII INDICATOR MAPPING

Indicator	Score	Legal Basis
6.1 Ban & Local Processing	HIGH RESTRICTION	Art. 26 — Local presence required
6.2 Local Storage	HIGH RESTRICTION	Art. 26 + Decree 53 — Data stored in-country

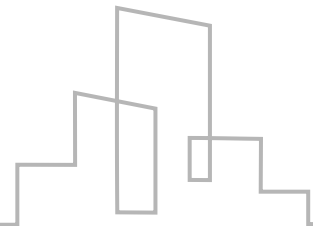
- "store such data within Vietnam"
- "establish branches"
- "regulated data"
- "24 months"
- "12-month compliance window"

Sources: Law on Cybersecurity No. 24/2018/QH14 | Decree No. 53/2022/ND-CP | ESCAP RDTII 2.1 Guide | ESCAP Economy Profile – Viet Nam
Verified by: Tilleke & Gibbins | PwC Legal Vietnam | DFDL | Russin & Vecchi

Finding 1: The Localization Burden



Finding 2: The Conditionality Trap



INDONESIA — PDP Law No. 27 of 2022, Article 56

Indonesia's Personal Data Protection Law establishes a three-tier conditional framework for cross-border data transfers:

Tier	Condition	Current Status
Tier 1	Destination country has an "adequate" level of data protection	Data Protection Authority (DPA) not yet established — adequacy assessment cannot begin
Tier 2	Appropriate safeguards in place (e.g., contractual clauses)	Implementing regulation still pending — no template clauses published
Tier 3	Explicit consent from the data subject	Only currently viable pathway — operationally burdensome for routine transfers

Core Contradiction: The PDP Law was enacted in October 2022, but the Data Protection Authority responsible for executing "adequacy determinations" has still not been established nearly four years later. A draft implementing regulation was circulated for stakeholder consultation in February 2026 but has not secured Presidential assent. This renders Tier 1 **legally available but factually inoperative**.

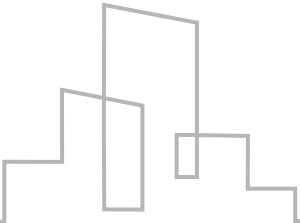
THAILAND — PDPA B.E. 2562 (2019), Sections 28–29

Thailand's Personal Data Protection Act provides three legal pathways for cross-border data transfers:

Pathway	Legal Basis	Specific Requirement
Adequacy Decision	Section 28	Destination country must be on PDPC "whitelist" — whitelist not yet published
Appropriate Safeguards	Section 29	BCR (Binding Corporate Rules, requires PDPC approval) or SCC (Standard Contractual Clauses, must comply with Thai requirements)
Exemptions	Section 28	Explicit consent / Necessary for contract / Vital interests

Key Progress: Thailand issued detailed implementing regulations in December 2023 (effective March 2024). In September 2025, the PDPC launched the BCR certification mechanism. This makes Thailand's cross-border transfer regime among the clearest in ASEAN, but the "whitelist" remains unpublished — the **adequacy pathway is still unavailable**.

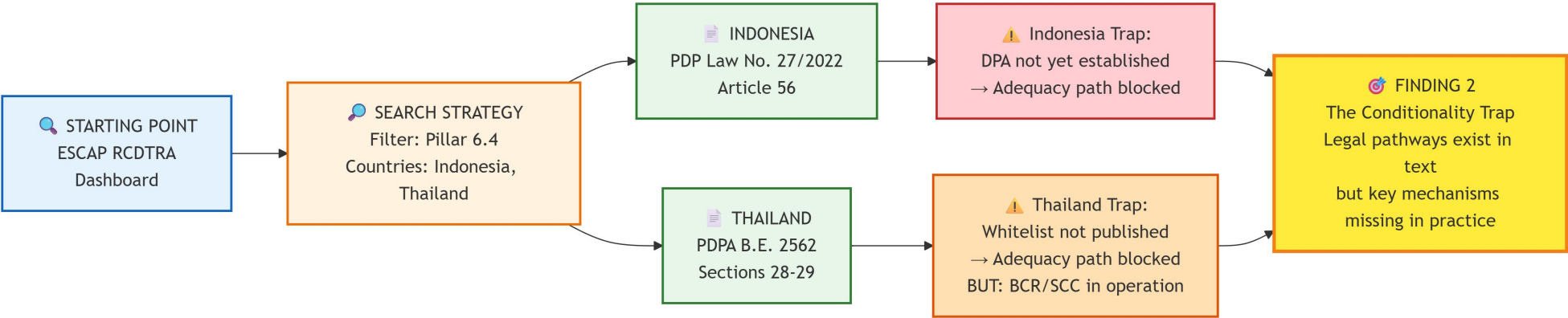
Finding 2: The Conditionality Trap



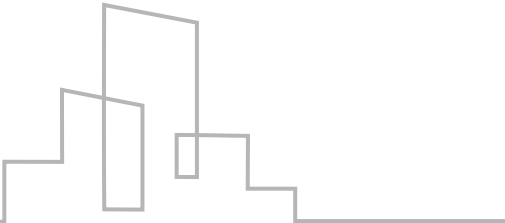
RDTII 2.1 Indicator 6.4 — Conditional Flow Regimes

Criterion	Indonesia	Thailand
6.4 Score	Conditional Restrictions	Conditional Restrictions (but clearer framework)
Adequacy pathway operational?	No — DPA not established	Partial — Whitelist not published
Alternative pathways available?	Only explicit consent (Tier 3) — no SCC/BCR yet	BCR launched (Sept 2025).+ SCC framework in place
Regulatory uncertainty	High (institutional vacuum)	Moderate (detailed rules exist but whitelist incomplete)

Indonesia	Thailand
"adequate level of protection"	"adequate data protection standards"
"explicit consent"	"whitelist"
"DPA not yet established"	"BCR certification"
"draft regulation pending"	"implementing regulations effective"



Finding 3: The Binding Commitment Gap



SINGAPORE — Multi-Layered Binding Commitments

Singapore has established the most comprehensive binding commitment framework in the ESCAP region through participation in multiple international mechanisms:

Mechanism	Status	Binding Force	Impact on Data Flows
APEC CBPR System	Full Participant & Operationalized	Strong	Cross-border data flows freely to CBPR-certified recipients
APEC PRP System	Full Participant & Operationalized	Strong	Additional processor-level safeguards
ASEAN Digital Economy Framework	Active Participant	Moderate	Promotes intra-ASEAN digital integration
EU Adequacy Decision	Not Granted	—	Relies on alternative mechanisms (SCC/BCR)

Key Facts: Singapore is among the earliest APEC economies to fully implement the CBPR system. Established in 2011 and expanded with PRP certification in 2015, the system had 9 full members as of July 2025 (Australia, Canada, Chinese Taipei, Japan, Korea, Mexico, the Philippines, Singapore, and the United States). However, only 4 economies (the U.S., Japan, Korea, and Singapore) have fully operationalized the system. Singaporean organizations certified under CBPR can transfer personal data to overseas CBPR-certified recipients without needing to meet additional PDPA transfer requirements.

LAO PDR / CAMBODIA — Absence of Binding Commitments

Neither Lao PDR nor Cambodia has joined any binding international mechanism for cross-border data protection:

Mechanism	Status	Notes
APEC CBPR	Not a Participant	Not among the 9 APEC CBPR members
APEC PRP	Not a Participant	Not among the PRP participants
ASEAN Data Transfer Framework	Not Signed	No standalone ASEAN cross-border data agreement
EU Adequacy Decision	Not Granted	Not on the EU adequacy list
Bilateral Data Flow Agreement	None	No bilateral data transfer agreements with major economies

Key Facts: Lao PDR and Cambodia currently participate in **zero binding cross-border data commitment mechanisms**. Under the RDTII 2.1 Pillar 6.5 definition, this absence directly translates to the highest restriction score — reflecting a complete lack of internationally recognized binding commitments on data transfer standards.

Finding 3: The Binding Commitment Gap

RIGHT COLUMN: Pillar 6.5 Indicator Mapping

Assessment Dimension	Singapore	Lao PDR / Cambodia
6.5 Score	LOW RESTRICTION	HIGH RESTRICTION
CBPR Participation	Full Member	Not a Participant
PRP Participation	Full Member	Not a Participant
Binding Multilateral Commitments	Multiple (CBPR + PRP)	None
Mechanism for Compliant Cross-Border Flow	Available via CBPR Certification	No Structured Mechanism
Regulatory Certainty for Businesses	High	Minimal

Singapore (Low Restriction)

"CBPR fully operationalised"

"PRP fully implemented"

"harmonised data protection standard"

"certified organisations freely transfer"

"no additional PDPA requirements"

Lao PDR / Cambodia (High Restriction)

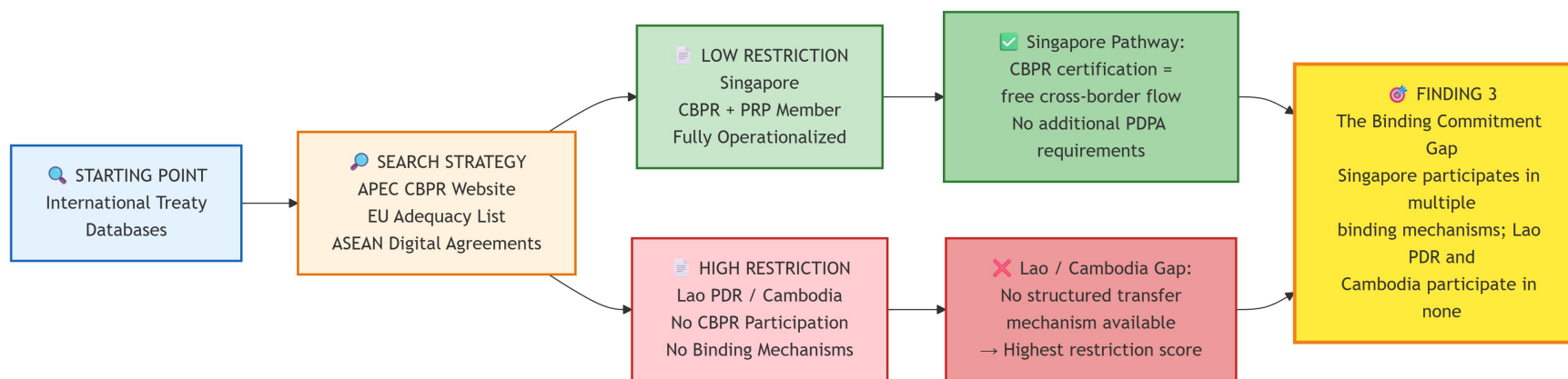
"no binding commitments"

"not a participant"

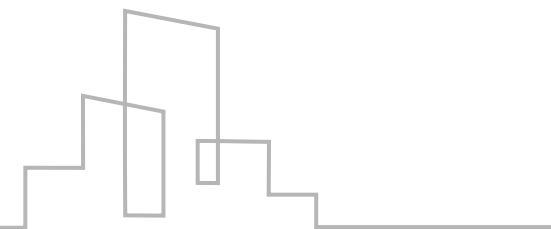
"absence of transfer mechanism"

"highest restriction level"

"zero participation in international mechanisms"



Cross-Country Comparison & Policy Recommendations



RDTII 2.1 Indicator	Viet Nam (Finding 1)	Indonesia (Finding 2)	Singapore (Finding 3)
6.1 Ban & Local Processing	⦿ High Restriction	⦿ Medium	⦿ Low Restriction
6.2 Local Storage	⦿ High Restriction	⦿ Medium	⦿ Low Restriction
6.4 Conditional Flow	⦿ Medium	⦿ High Restriction	⦿ Low Restriction
6.5 Binding Commitments	⦿ Medium	⦿ Medium	⦿ Low Restriction

Proposal 1: Pioneer an "ESCAP Model Clause" for Cross-Border Data Flows

Addressed Findings: 1 (Localization Burden) & 2 (Conditionality Trap)

Action: Develop a modular set of contractual clauses endorsed by ESCAP. This would provide SMEs with a **pre-approved, low-cost compliance tool**, offering a practical alternative to **outright data localization mandates** and filling the void left by **inoperative adequacy mechanisms**.

Proposal 2: Establish a Regional "Regulatory Sandbox" for Digital Trade

Addressed Findings: 2 (Conditionality Trap)

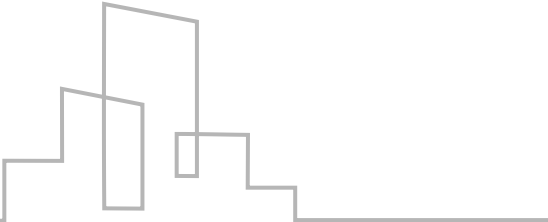
Action: Create a **time-limited testing environment** where businesses can trial innovative cross-border data services under regulatory supervision. This allows countries like Viet Nam and Indonesia to **build regulatory capacity and confidence** before enacting permanent, potentially **trade-restrictive rules**.

Proposal 3: Create an "APEC-ASEAN Bridge" for Binding Commitments

Addressed Findings: 3 (Binding Commitment Gap)

Action: Launch a **capacity-building program** to help non-CBPR ESCAP members (e.g., Lao PDR, Cambodia) progressively align their domestic frameworks with international standards like the CBPR system. This **lowers the barrier to entry** for joining binding mechanisms.

Summary & Team Information



Three Key Takeaways

Finding	One-Sentence Summary
Finding 1: Localization Burden	Viet Nam's explicit data localization laws create the highest barrier to cross-border data flows.
Finding 2: Conditionality Trap	Indonesia and Thailand permit data flows on paper, yet inoperative mechanisms render compliance unpredictable.
Finding 3: Binding Commitment Gap	Singapore's participation in multiple binding mechanisms starkly contrasts with non-participating LDCs.

Evidence Repository

All regulatory screenshots, source PDFs, and video demonstrations are accessible on our project dashboard:

<https://vercel.com/mingyue921s-projects/hackathon/hackathon-omega-coral.vercel.app>

Data Sources & Disclaimer

Data sourced from the UNESCAP RDTII 2.1 Guide, ESCAP RCDTRA Database, Economy Profiles 2025, and official government legal portals. Analysis is for pre-selection purposes only.

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